Special rules

Content

C Chargeable gains for individuals

2. The basic principles of computing gains and losses

c) Understand the treatment of transfers between a married couple or between a couple in a civil partnership.

d) Understand the amount of allowable expenditure for a part disposal.

e) Recognise the treatment where an asset is damaged, lost or destroyed, and the implications of receiving insurance proceeds and reinvesting such proceeds.

3. Gains and losses on the disposal of movable and immovable property

1. Transfer between spouses/civil partners

- Individuals are taxed separately.
- Annual exempt amounts cannot be transferred to another.
- No gain/no loss basis：

Transferor’s deemed proceeds = Transferor’s acquisition cost = Transferee’s base cost

Lecture illustration

Judy purchased a house for £60,000 on 7 August 2002. She gifted a house to her son Kevin on 18 July 2012. The market value of that house was £100,000 on that day.

On 2 February 2026, Kevin gifted that house to his wife Nancy. The market value of that house was £500,000 on that day.

Lecture illustration -Solution

Judy:

Deem proceeds = Market value on gift = £100,000

Capital gain = £100,000 — £60,000 = £40,000

Kevin:

Deem proceeds = Acquisition cost = Market value on received gift = £100,000

Capital gain = £100,000 — £100,000 = £0

Nancy:

Base cost = Kevin's acquisition cost = £100,000

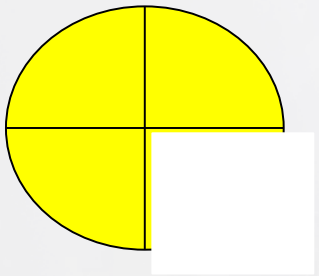
2. Part disposal

When only part of an asset is sold, the original cost of the whole asset needs to be split up.

A= MV of the disposed part (Gross proceeds)

B= MV of the remainder part (you will be given)

purchase price : 2000



sales price : 4000

remaining part : 6000

2. Part disposal

	£
Gross proceeds of part disposal	A
Less: selling costs	(X)
Net proceeds	X
Less: Original cost of whole asset $\times \frac{A}{A+B}$	(X)
Chargeable gain	X

Lecture example 1

The following transactions are related to Kate:

		£
June 2014	Purchased a 10 hectares plot of land	78,000
February 2026	Sold 4 of the hectares	42,000
February 2026	Incurred legal fees when sold	1,200

The market value of the remaining 6 hectares of land was £86,000 in February 2026.

What is Kate's chargeable gain on the disposal of the 4 hectares of land in the tax year 2025-26?

3. Damage to an asset

An asset is damaged, and compensation or insurance money is received, the calculation of capital gain is similar to part disposal.

Cost of damaged part=original cost of the asset $\times \frac{A}{A+B}$

A = compensation received

B = unrestored value of asset



If the asset is restored, the base cost of asset should be calculated as follow:

Base cost = Original cost − Cost of damaged part + Restoring cost

3. Damage to an asset

All the compensations are used to restoring the asset, taxpayer can choose to ignore part disposal calculation. The capital gain of part disposal will not be calculated.

The base cost of asset should be calculated as follow:

Base cost = Original cost － Compensation received + Restoring cost

Lecture example 2

In August 1994 a holiday cottage was bought by Mr. James for £40,000. In August 2004 the cottage was damaged in a fire. An insurance claim was made and £33,000 was received in September 2004. After the fire the cottage was valued at £45,000.

In December 2004 Mr. James put £37,000 into restoring the cottage. He then sold the cottage for £95,000 in December 2025.

(a) Calculate the gain arising assuming Mr. James elects for there to be no part disposal.

(b) How would your answer differ if no election were made?

4. Destroyed or lost

- When an asset is destroyed or lost, compensation or insurance money will be received:

  Deemed proceeds = compensation received

  Date of disposal = date compensation received

- If the compensation receipts are reinvested in a replacement asset within 12 months (from the date of compensation received), rollover relief is available.



4. Destroyed or lost

Compensation received
Less: original cost
Gain (本以为)
Less: rollover relief
Gain taxed now(not reinvest) = compensation received - MV of the new asset

Base cost of the new asset = MV of the new asset - rollover relief

Lecture example 3

Anny is a UK resident. She had bought a house for £115,000 on 12 March 2002.

During the tax year 2025-26 she had the following transactions:

5 July 2025: The house was destroyed.

10 July 2025: An insurance claim was made.

25 August 2025: Insurance money of £175,000 was received.

9 January 2026: Spent £132,500 on a replacement asset.

What is the gain immediately chargeable and the base cost of the new asset?

5. Chattels

	Chattels: Tangible moveable property	
	Non wasting chattels	**Wasting chattels**
Examples	• Antique • Painting • Jewellery • Manuscript • Crystal chandelier	• Plant and machinery • Animals: Greyhound, Racing horse, Dairy cow
CGT rule	**£6,000 Rule**	Plant and machinery qualifying for capital allowances sold for a gain: **£6,000 rule** Others: **Exempt**

5. Chattels

	Cost < £6,000	**Cost > £6,000**
Gross proceeds < £6,000	Exemption	Deemed: Gross proceeds = £6,000
Gross proceeds > £6,000	Lower of • Actual gain (normal calculation) • $\frac{5}{3} \times$ (Gross proceeds − £6,000)	Normal calculation

Lecture example 4

Lindo purchased a machine for trading purpose for £500. He sold it several years later for £9,000, before deducting the auctioneer's commission of £1,000.

Antique bought for £7,000 and sold several years later for £3,000.

(a)What is the chargeable gain or loss arising on the disposal of the machine?

(b)What is the chargeable gain or loss arising on the disposal of the antique?

6. Wasting assets

A wasting asset is one which has a remaining useful life of 50 years or less.

The cost of such an asset must be adjusted for the expected depreciation over the life of the asset.

E.g.: Patents, Trademarks, Registered designs, Copyrights

$$\text{Cost on disposal} = \text{Original cost of the asset} \times \frac{\text{Remaining lifetime}}{\text{Whole lifetime}}$$

Lecture example 5

On 31 March 2026, Nigel sold a copyright for £17,280. He incurred legal cost of £280 on sale.

The copyright had been purchased on 1 April 2020 for £18,000 when it had an unexpired life of 25 years.

Compute Nigel's chargeable gain on this disposal.

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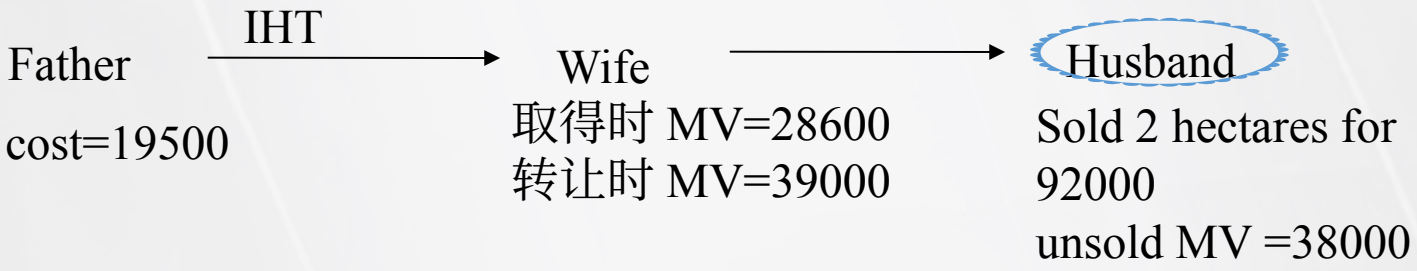
Practice(do by yourself first)

Practice

On 3 December 2025 Renaldo sold two hectares of land at auction for gross proceeds of £92,000. The auctioneers' commission was 5% of the sale price.
Renaldo's wife's father had originally purchased three hectares of land on 4 August 2008 for £19,500. He died on 17 June 2015, and the land was inherited by Renaldo's wife. On that date the three hectares of land were valued at £28,600.
Renaldo's wife transferred the land to Renaldo on 14 November 2018. On that date the three hectares of land were valued at £39,000. The market value of the unsold hectare of land as at 3 December 2025 was £38,000.

Required
Compute Renaldo's chargeable gain in respect of the disposal on 3 December 2025.

Practice


Father
cost=19500
IHT
Wife
取得时 MV=28600
转让时 MV=39000
Husband
Sold 2 hectares for 92000
unsold MV =38000

Quizzes(self-practice)

Quiz 1

Fergus sold an antique vase for £10,000 on 1 February 2026. He had originally bought the vase for £2,000 on 1 June 2005.

What will be Fergus's chargeable gain on the disposal of the antique vase?

A.£8,000
B.£6,667
C.£3,333
D.£0

Quiz 1-A

The correct answer is **B**.

Proceeds	10,000
Less: cost	(2,000)
Chargeable gain	8,000
Or 5/3 × (10,000 – 6,000)	6,667
Lower	6,667

Quiz 2

Jessie sold 3 hectares of land for £200,000 on 1 March 2026. She originally bought the plot of 10 hectares on 1 March 2006 for £600,000. The value of the remaining 7 hectares is £700,000.

What will Jessie's chargeable gain on the sale of the land be?

A.£20,000
B.£66,667
C.£133,333
D.£200,000

Quiz 2-A

The correct answer is **B**.

Proceeds	200,000
Less: cost 600,000 × 200,000/(200,000 + 700,000)	(133,333)
Gain	66,667

Quiz 3

Francis bought a necklace for £12,000 in September 2015. He sold the necklace in March 2026 for £6,000 and incurred selling costs of £50.

What will Francis's allowable loss be on the disposal of the necklace?

A.£(7,000)
B.£(6,000)
C.£(7,050)
D.£(6,050)

Quiz 3-A

The correct answer is **D**.

Deemed proceeds (gross)	6,000
Less: selling costs	(50)
	5,950
Less: cost	(12,000)
Allowable loss	(6,050)



谢谢观看

THANK FOR WATCHING